GMS WEEKLY

Your Source for Recycling News

December 23rd, 2022
Volume 245, Issue 1062
Week 51

Highlights:

- **Reflecting.**
- **Decade peaks.**
- **Low supply.**
- **Charter highs.**
- **Hitting limits.**
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QUOTE of the WEEK

"No matter what people tell you, words and ideas can change the world."

– Robin Williams

MARKET COMMENTARY

TURBULENT TIMES!

As sub-continent markets veer through the last couple of weeks towards the end of the year, we can look back and reflect on what has been an extremely turbulent 2022.

Prices reached decade long peaks above USD 700/LDT in the first quarter of the year before crashing back down by about USD 200/LDT, with certain trades seeing below the USD 500/LDT barrier and even into the high USD 400s/LDT on certain occasions.

On the West End, the situation was no different in Turkey, where levels too hit a record USD 500/Ton for a brief period, only to plummet about half in value (about USD 250/MT) in a rather short period, and has remained on the sidelines ever since.

Steel plate prices and especially the relevant currencies have all seen record lows against the U.S. Dollar, shattering records by the month during the summer period.

We have also seen decade lows in the supply of tonnage, with almost all freight sectors performing strongly this year, as we finally seen a much-anticipated rebound on tankers following a number of years in the doldrums.

Dry Bulk and Containers have also had outstanding years, with minimal scrapping seen in both sectors during the first half of the year. As such, moving into 2023, we do expect to see more vessels enter the market for recycling from each of these sectors, especially as freight rates have cooled off considerably towards the end of this year.

There are also a number of vessels trading right up to their limits (in terms of surveys) and due to older age profiles and reduced earnings, Owners are unlikely to pass further surveys and may well scrap with recycling rates still looking relatively firm (USD 350/LDT being the historical average). A reduction in the fleet size amidst relatively low newbuilding deliveries for 2023 should help charter rates recover and for various earning cycles to start again.

For week 51 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Pakistan	Weak	520 / LDT	530 / LDT	540 / LDT
2	India	Weak	510 / LDT	520 / LDT	530 / LDT
3	Bangladesh	Weak	500 / LDT*	510 / LDT*	520 / LDT*
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

**Subject L/C approval*

We at GMS would like to wish our reader and their families, s a Safe and Merry Christmas!

BANGLADESH

DE-FANGED!

Out of buying.

Bangladesh remains mostly out of the buying for another week, as L/C limits and lack of financing from the Central bank has essentially stripped away End Buyer capabilities when securing new vessels.

It was of course a stunning first-half of the year in Bangladesh with some of the highest sales for years taking place above USD 700/LDT and for all types and sizes as well – Capes, Aframax tankers, and even VLCCs.

Tough limits.

However, in addition to the financial handcuffs that local Recyclers are currently in, fundamentals are still struggling and that is further hampering local sentiments. The Bangladeshi Taka closed at BDT 105.5X against the U.S. Dollar, while local steel plate prices reportedly flatlined through the week at its current lows.

While the currency collapses under the weight of the free markets, the government introduced tougher limits on its precious U.S. Dollar reserves spending – allowing only fuel, food, and fertilisers, and thereby de-fanging the domestic ship recycling sector for the time being.

Hopefully 2023 will find Chattogram Buyers back in the fray once the Central Bank eases its restrictions.

NO MARKET SALES REPORTED

INDIA

YEAR END LULL!

A number of sales have taken place into India of late, as this is the one performing market across the sub-continent that Owners and Cash Buyers can together rely on.

Several sales.

Prices have recently cooled off, however as steel prices have continued to dither through the week and display their ongoing volatility, while the Indian Rupee continues to struggle close to historical highs of Rs. 83 against the U.S. Dollar.

As such, many Alang Buyers remain reticent to dip back into the buying, perhaps fearing further falls ahead, as there is something of a lull going into the final weeks of the year.

Further falls?

NO MARKET SALES REPORTED

PAKISTAN

BOTTOMED OUT?

Sales register.

Having concluded a number of sales after a period on the sidelines, it appears that some confidence has returned to the Pakistani market, as End Buyers are satisfied to get back to the bidding tables, in the belief that the market has perhaps bottomed out and 2023 will help recycling markets overall.

Pakistan is not beset with the L/C difficulties that Bangladesh is, but there is significant turmoil in the country – both politically and economically - as the Pakistani Rupee now passes the PKR 225.5X against the U.S. Dollar.

Economic fears.

Indeed, there have even been fears that Pakistan or Bangladesh may go the way of the recently collapsed Sri Lankan economy, and much uncertainty and fear has seeped into both markets at the end of this year as a result.

NO MARKET SALES REPORTED

TURKEY

2023 HOPES!

As with the expectation for the trading markets to slow down next year, there are increasing rumours from the Aliaga market of an increasing number of units being potentially worked basis a 2023 delivery.

2023 deliveries.

Key fundamentals remain steady (as they have been for most of December) as both import and local steel plate prices have reportedly been steady with no noteworthy change as while the Turkish Lira seems to have found its new playfield around the TRY 18.6X mark against the U.S. Dollar.

With the year about to turn over and an overall holiday mood already set in, Aliaga Buyers are optimistic about a better 2023.

Optimistic.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *The Pope can't be an organ donor. Pope Benedict XVI was issued an organ donor card in 1970. Once he ascended to the papacy in 2005, the card was invalid, reports the Telegraph. According to the Vatican, the Pope's entire body must be buried intact because his body belongs to the universal Catholic Church.*
- *A one-armed player scored the winning goal in the first World Cup. Héctor Castro, who accidentally cut off his right forearm while using an electric saw as a teenager, played on the Uruguay soccer team during the first-ever World Cup in 1930. In the last game between Uruguay and Argentina, Castro scored the winning goal in the last minute of the game. The final score was 4–2, making Uruguay the first country to win the World Cup title.*
- *The world's oldest toy is a stick. Think of how versatile a stick is. You can use it to play fetch with your dog, swing it as a bat, or use your imagination to turn it into a lightsaber. That's why, in 2008, the National Toy Hall of Fame inducted the stick into its collection of amazing toys as, very possibly, the oldest toy ever. But wait—we aren't done with interesting facts just yet!*
- *Flamingos bend their legs at the ankle, not the knee. They essentially stand on tip-toe. Their knees are closer to the body and are covered by feathers.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
December 25 – Christmas January 01 – New Year's Day January 26 – Republic Day	December 21 - December 29 January 04 – January 11 January 19 – January 27

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
December 25 – Christmas December 31 – Bank Holiday January 01 – Bank Holiday	December 23 – December 26 January 07 – January 10 January 22 – January 25

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
January 01 – 02 – New Year's Day January 21 – 27 – Spring Festival	December 25 – Quaid-e-Azam Day January 01 – Bank Holiday	January 01 – New Year's Day

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ALANG - Port Position as of December 24, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	T-20 (Under Tow)	9,408	Rig	Arrived December 19
2	Ethan	5,104	Container	Arrived December 19
Total Tonnage		**14,512**		

CHATTOGRAM - Port Position as of December 24, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	An Ping 8	9,804	Bulk Carrier	Arrived December 19
2	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
3	Bell	7,995	Bulk Carrier	Arrived December 18
4	*Bosfor*	*780*	*Tanker*	*Beached December 20*
5	Funning 2	5,002	Bulk Carrier	Arrived December 10
6	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
7	Hai Feng 698	7,240	Reefer	Arrived December 21
8	Mei Zhou I	9,453	Bulk Carrier	Arrived December 17
9	*PK 27*	*1,104*	*LPG*	*Beached December 21*
10	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
Total Tonnage		**74,909**		

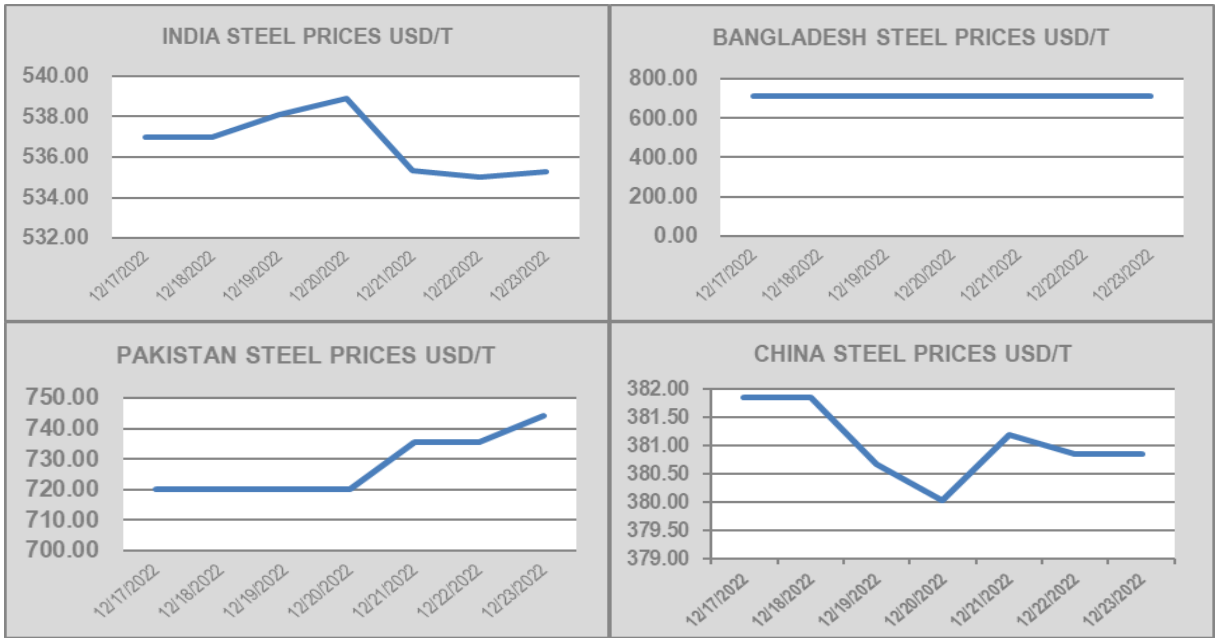
GADANI - Port Position as of December 24, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
12/17/2022	536.99	44,500.00	720.00	162,000.00	712.87	72,000.00	381.85
12/18/2022	536.99	44,500.00	720.00	162,000.00	712.87	72,000.00	381.85
12/19/2022	538.09	44,500.00	720.00	162,000.00	712.87	72,000.00	380.67
12/20/2022	538.91	44,600.00	720.00	162,000.00	712.87	72,000.00	380.04
12/21/2022	535.35	44,300.00	735.33	166,000.00	712.87	72,000.00	381.19
12/22/2022	535.02	44,300.00	735.33	166,000.00	712.87	72,000.00	380.85
12/23/2022	535.28	44,300.00	744.19	168,000.00	712.87	72,000.00	380.85



www.gmsinc.net
GMS_Leadership
GMS, Inc.
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311